BOARD PRE-READ · PORTFOLIO REVIEW

Where the IT portfolio slipped: budgets, schedules and the few projects driving the overrun

Real data: 1,126 Government of Canada IT projects over C$1M reported to Parliament in 2016, 2019 and 2022; 192 tracked across reports.

Prepared by Ahmed Hatem Dahi · portfolio sample

Most re-reported projects ended up later and more expensive

+37%

budget growth across the 192 tracked projects (C$4.0B → C$5.5B)

86%

of tracked projects now finish later than first promised

2 yrs

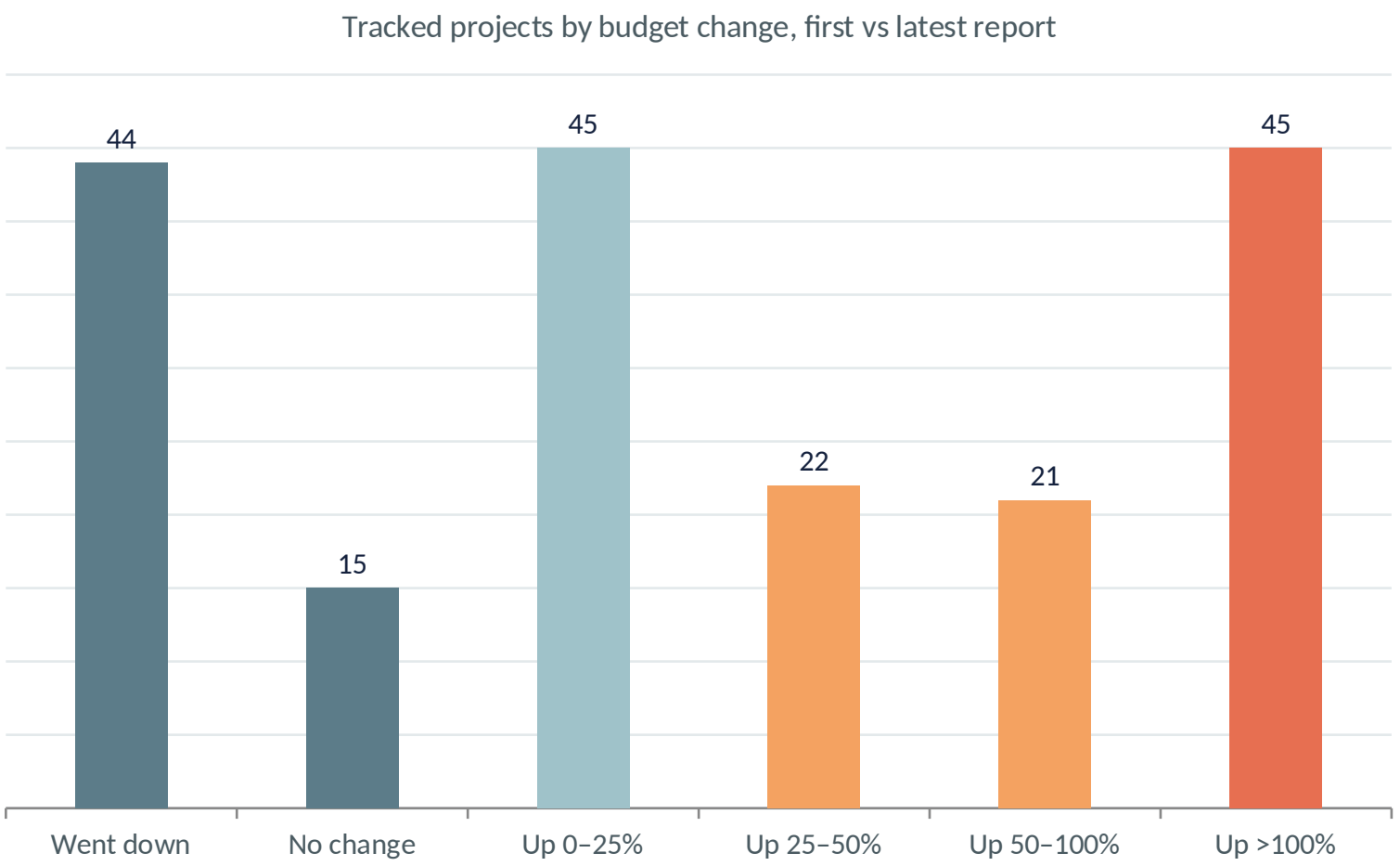
median schedule slip

54%

of all added cost sits in just 10 projects

So what: schedule slip is the earliest warning of cost growth, and a short list of projects deserves direct board attention.

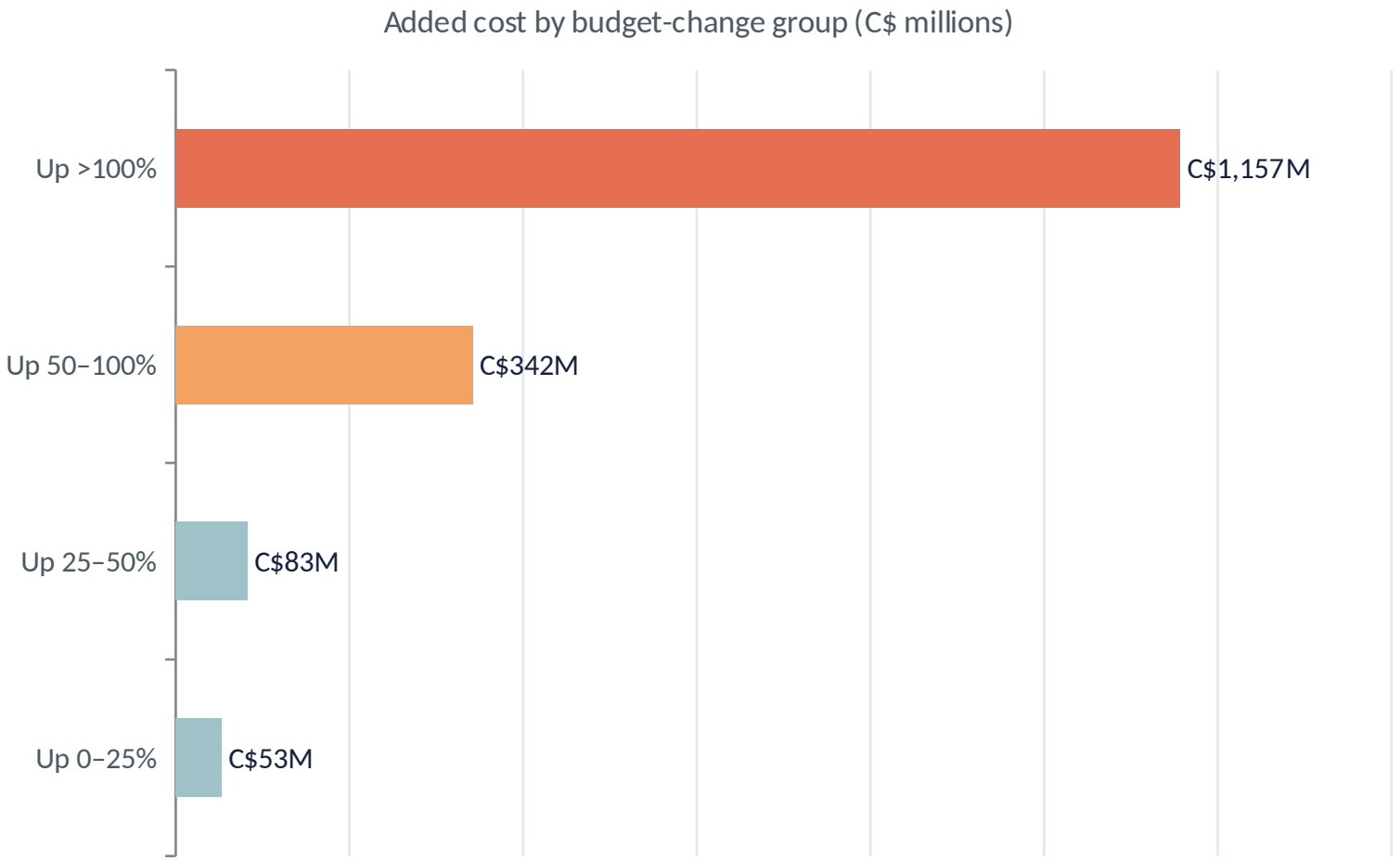
A quarter of tracked projects more than doubled their budget



What it shows

- 45 projects (23%) grew by more than 100%.
- 44 projects (23%) actually came in lower — growth is not universal.
- The spread, not the average, is what governance has to manage.

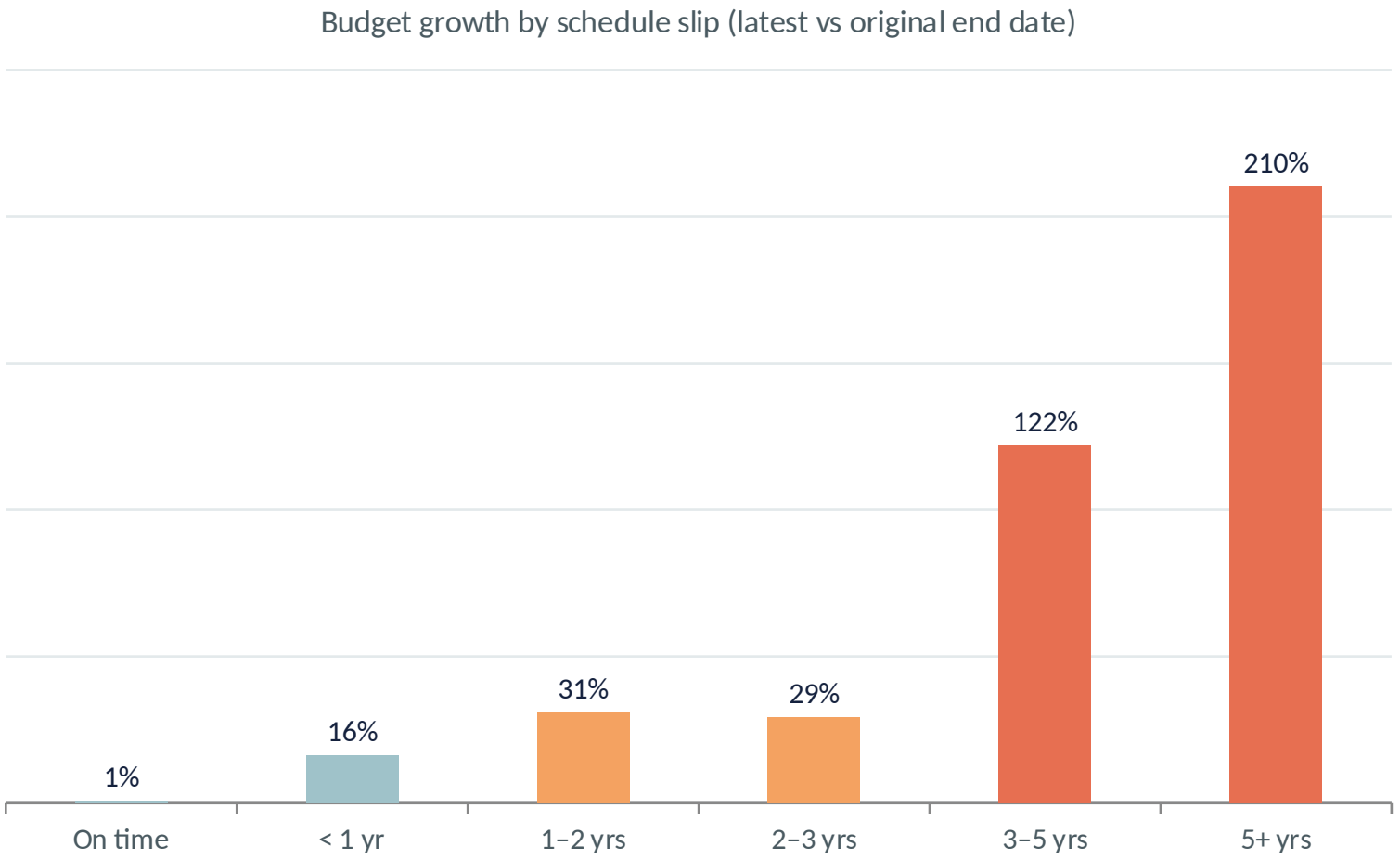
The doubled-budget group carries most of the added cost



What it shows

- C$1.16B of added cost comes from the 45 projects that more than doubled.
- The top 10 projects alone account for C$875M — about 54% of all added cost.
- Reviewing 10 projects covers more risk than reviewing the other 182.

The later a project slips, the more its budget grows



What it shows

- Projects on time grew their budget by under 1%.
- Past 3 years late, budgets more than double on average.
- A slip report is the earliest, cheapest signal of a future overrun.

A two-year slip is the line between contained and runaway cost

Slipped less than 2 years

89 projects

+16%

budget growth

24% of them grew 50%+

Slipped 2 years or more

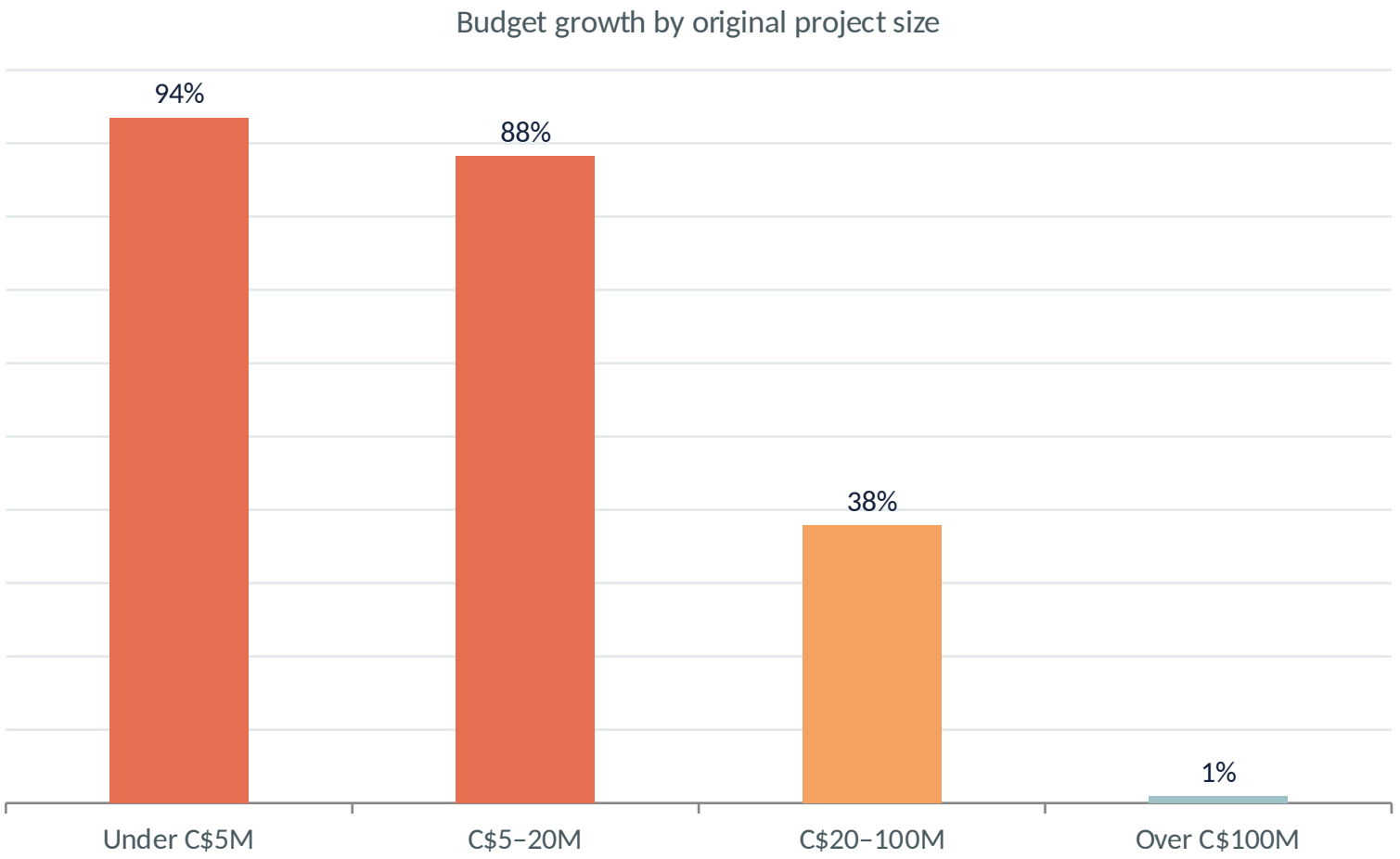
103 projects

+75%

budget growth

44% of them grew 50%+

Small projects grew fastest — gating cannot stop at C$100M



What it shows

- 92 projects under C$5M nearly doubled their budgets and slipped 2.7 years on average.
- The 5 projects over C$100M stayed within 1%.
- Light-touch oversight of small projects is where growth hides.

Ten departments hold most tracked projects; three stand out

Department	Tracked projects	Budget growth	Avg slip (yrs)
Canada Revenue Agency	22	+38%	2.5
Shared Services Canada	19	+19%	1.1
National Defence	18	+44%	2.8
Innovation, Science & Econ. Dev.	15	+67%	2.4
RCMP	13	+34%	1.8
Correctional Service Canada	13	+104%	3.9
Employment & Social Dev.	13	+48%	2.9
Transport Canada	13	+118%	3.0
Health Canada	12	+54%	3.3
Canada Border Services Agency	9	−1%	1.1

What it shows

- Transport Canada (+118%) and Correctional Service (+104%) more than doubled their tracked budgets.
- ISED grew 67% on 15 projects.
- Start the portfolio review with these three.

Four governance actions for the board to approve

1

Treat schedule slip as a cost alarm

Any project 12+ months late triggers a cost re-forecast and sponsor review.

2

Put the top 10 overruns under direct review

Quarterly board check-in on the 10 projects that hold 54% of added cost.

3

Gate small projects too

Apply stage gates below C$5M, where budgets nearly doubled.

4

Re-baseline with a reason

Every change to budget or end date is logged with a cause and an approver.

Decision requested

Approve the four actions and a first review of the top 10 overruns next quarter

Source & method: Government of Canada IT project lists (>C$1M) reported to Parliament in 2016, 2019 and 2022 (1,126 projects). 192 projects appear more than once; growth compares first vs latest reported budget and end date. Status is as reported by departments. Full formula-driven Excel model available.

Ahmed Hatem Dahi · Operations & Data · portfolio sample